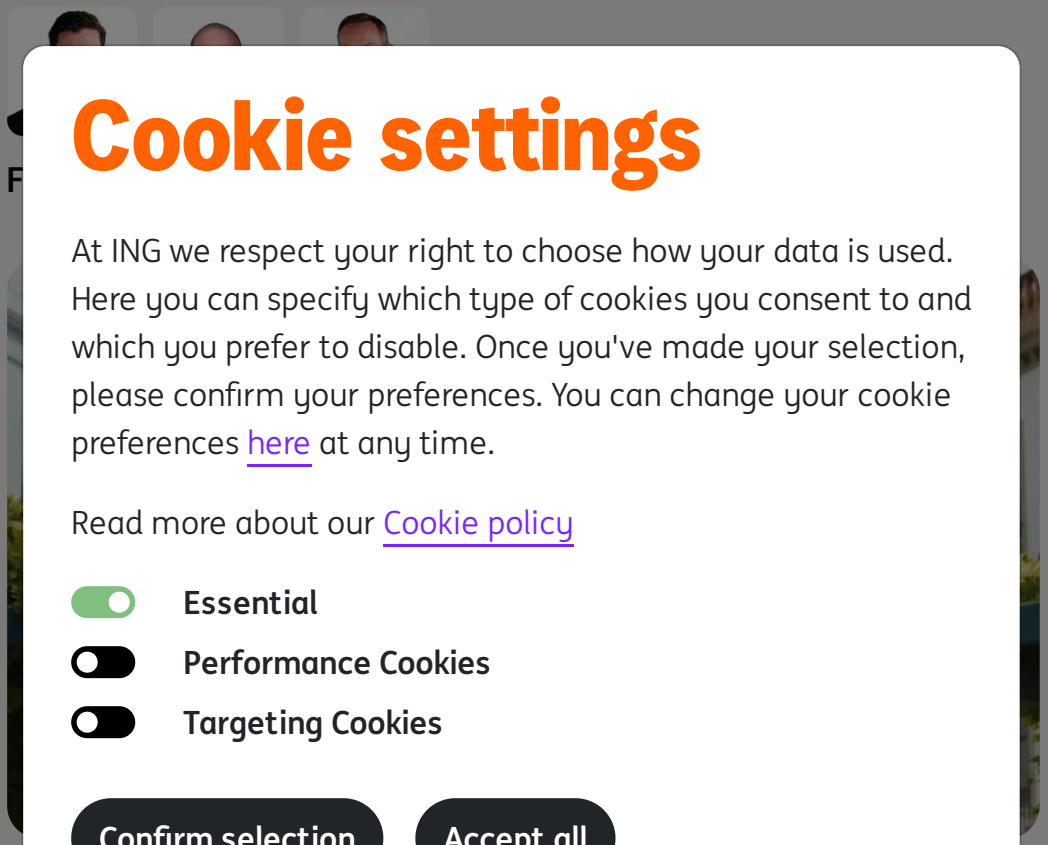
The ECB will likely keep rates on hold today, but we don't think French-related risk is enough to drive a material dovish shift yet, especially with energy prices running so high. We expect a contained euro impact. After a slightly negative reaction to yesterday's FOMC, we see the dollar finding some support from today's US PCE and GDP data



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USD: Don't read too much into the softish reaction to the Fed

The dollar traded a little softer after the Fed's hold yesterday, with the USD 2yr swap rate falling around 8bp. As discussed in our review note, the overall message remained hawkish, with Chair Warsh reiterating his firm commitment to price stability, adding that current inflation "remains elevated" while the economy is "expanding at a strong pace". The modest dovish market reaction was probably due to the lack of clearer guidance towards a

December hike, although we've now learned not to expect that from Warsh.

On the vote split, Beth Hammack and Lisa Cook's dissents in favour of a hike were not particularly notable signals in themselves. Cook's vote is a bit of a surprise, however, given she was considered a more centrist member, and may fuel further ire from the Trump administration, which is still attempting to remove her.

From an FX perspective, the picture for the dollar doesn't change after this Fed meeting. A December hike remains in play (21bp priced in) and its prospect should prove fairly resilient to a potential o

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The European Central Bank is likely to keep rates on hold today. We've outlined four scenarios in our ECB cheat sheet: three involve a hold, while one very hawkish scenario sees a hike. Our baseline view is neutral. We don't think we are at the stage where French bond market turmoil can trigger a significant dovish turn by the ECB, especially with such elevated oil and gas prices (TTF hit €100/MWh in Europe yesterday).

We expect much of the market reaction to be driven by the ECB's tone on France and the prospect of another hike this year. Markets are pricing in 21bp for December, and in September officials signalled that a rate hike by year-end was in play in their

customary tip to the media a few hours after the rate announcement. Signalling that rates are “likely” to be raised in December would constitute a modest hawkish surprise in our view. However, we see a slightly less committal message as more likely, perhaps that a December hike is “possible” or “in play”.

Either way, we don’t expect this meeting to be a turning point for the euro. EUR/USD has shown it’s not yet ready to break below 1.110, and we don’t expect today’s ECB risk event to trigger a major leg lower. A slightly stronger USD on US data may, however, keep modest pressure on the pair.

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growth. Our base case therefore remains that rates peak at 2.75%.

For CAD, oil remains the key swing factor. High prices can keep December hike expectations alive and support the currency, but we remain bearish on oil and think a correction would trigger dovish BoC repricing. We therefore see limited room for CAD gains from the domestic story alone and retain our year-end USD/CAD target of 1.420.

Francesco Pesole

CEE: The Fed offers a chance to stabilise, but gas is inviting further weakness

The CNB's "blackout period" begins today in the Czech Republic, and the market is returning following yesterday's public holiday. On Tuesday, another board member, Jakub Seidler, confirmed his intention to vote for a rate hike at next week's meeting. Given that he has consistently voted in line with the board majority, we believe a 25bp rate hike – bringing the rate to 4.00% – is a done deal. In our CNB preview published yesterday, we noted that the market is primarily driven by energy prices, with the CNB having relatively little impact. As the Czech market resumes trading after

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